

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate)
Transmission System)

Docket No. RM26-4-000

Comments of the North Dakota Public Service Commission

The North Dakota Public Service Commission (“NDPSC”) is a state constitutional agency tasked with, among other things, the siting of energy infrastructure, economic regulation of investor-owned utilities, and governance in two Regional Transmission Organizations (“RTO’s”). North Dakota cooperatives and investor-owned utilities participate in the organized markets through the Midcontinent Independent System Operator (“MISO”) and Southwest Power Pool (“SPP”). The NDPSC is intimately involved in cost allocation and transmission planning through its involvement in the Organization of MISO States (“OMS”) and SPP’s Regional State Committee (“RSC”).

On October 27, 2025, the Federal Energy Regulatory Commission (“Commission”) issued an Advance Notice of Proposed Rulemaking (“ANOPR”) in the captioned proceeding. Having reviewed the ANOPR, the NDPSC respectfully submits these comments in response.

I. Introduction and Summary

NDPSC appreciates the Department of Energy’s and the Commission’s attention to the efficient interconnection for large load customers. While NDPSC supports the general objectives outlined in the ANOPR, we want to emphasize the importance of ensuring that any new processes that may result from this proceeding do not inadvertently disturb the current balance between federal policy and state oversight. The NDPSC asks the Commission to fully consider the potential

impacts to state jurisdiction, incumbent utilities, and, most importantly, all customers when determining whether the commission should expand its jurisdiction by redefining what has historically been state jurisdiction. Finally, NDPSC impresses upon the Commission that any policies resulting from this proceeding be specifically and narrowly tailored to solve a widespread systemic issue, and that any such solution be informed by solutions already implemented by the RTO's.

II. Service and Communications

All pleadings, correspondence, and communications related to this proceeding may be directed to:

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III. Comments

A. Blurring Federal-State Jurisdictional Boundaries

Section 201(b) of the Federal Power Act grants to the Commission jurisdiction over the transmission of electric energy in interstate commerce, and the sale of electricity at wholesale in interstate commerce.¹ Jurisdiction over facilities used for the generation or retail distribution of electricity remain matters within state jurisdiction. In the ANOPR, the Commission expresses its intention not to “impinge on States’ authority over retail electricity sales by asserting jurisdiction

¹ 16 U.S.C § 824(b).

over the interconnection of large loads to the transmission system.” The ANOPR announces the intention to avoid “*even arguably* affecting States’ jurisdiction” by limiting the Commission’s jurisdiction consistent with the Commission’s seven-factor test.² However, to reach the proposed solution outlined in the ANOPR, the Commission risks invoking the seven-factor test in name only.

Under Order No. 888, the Commission established a seven-factor test to determine whether a facility should be classified as transmission or distribution. This classification and the ability to rely upon it are important for jurisdictional and ratemaking purposes. Yet under the ANOPR’s reasoning, the singular act of connecting a large retail customer directly to transmission facilities could transform that retail delivery into a FERC jurisdictional wholesale transaction. This one act feasibly redefines distribution facilities and costs as transmission assets, regardless of the seven-factor tests analysis, and shifts oversight from state commissions to FERC, even though these large loads will continue to affect retail sales, distribution system planning, and local cost recovery. All areas historically overseen by state commissions.

B. Unpredictable Consequences of the Jurisdictional Reclassification of Large Loads.

While NDPSC recognizes that the ANOPR does not express an intent to reclassify large loads, even if it occurs from only a functional standpoint, many related processes will need to be reconsidered to address jurisdictional and operational changes, as well as gaps likely to result from an unintentionally misaligned regulatory scheme.

Most concerning to the NDPSC is the potential for unintended negative impacts to the ratepayers in our state. The language of the ANOPR presents a scenario where existing customers

² ANOPR at ¶ 18; FERC Order No. 888, 61 Fed. Reg. at 21620.

would not be able to benefit from spreading a utility's generation and distribution fixed costs over additional energy sales if large loads are not subject to a utility's retail tariff provisions. Additionally, it is unclear the impact this reclassification would have on transmission costs, which is especially concerning given the proposed 20 MW threshold.

Again, while large load reclassification is not listed as an expressed intent, the NDPSC, based on the language of ANOPR, cannot see how this is not an operative result. As such, NDPSC seeks a deliberate approach in this rulemaking procedure with the goal to identify and mitigate unintended and undesirable results, and with procedural protections in place that shield our ratepayers while leaving state commissions the authority to advance their interests.

C. Ensuring the need for regulatory reform.

Major shifts in national regulatory policy, and the complex issues that accompany them, are seldom the most efficient solutions to regional or localized issues. The ANOPR outlines the need "to provide open and non-discriminatory access to the transmission system" for interconnection of large loads as the principal need for reform.³ The NDPSC shares the goal of ensuring non-discriminatory access to the transmission system. However, this purpose, which also serves as a justification for the expansion of the Commission's current jurisdiction⁴, is listed without supporting facts. The ANOPR provides no evidence or examples demonstrating that current state or utility interconnection processes are discriminatory or inadequate. In addition to the points of discussion listed in the ANOPR, NDPSC submits that any proposed rule must be necessary to address a concrete, systemic, and nationwide problem.

³ ANOPR at ¶ 12.

⁴ *Id.* at ¶¶ 13 and 14.

D. North Dakota supports the planning process developed by the RTOs.

Should this process yield evidence or examples of unaddressed unduly discriminatory or other practices inhibiting the efficient interconnection of large loads, NDPSC urges the Commission to first look to proven solutions already being utilized by the RTO's to address these issues.

North Dakota is within the boundaries of two RTOs, SPP and MISO. SPP has worked to expedite the interconnection of large loads such as with their High Impact Large Load (HILL) proposal, recently filed with FERC. The HILL process provides an excellent framework for an interconnection process that meets the rapidly increasing demand for electricity while leaving state jurisdiction intact, protecting legacy customers, and promoting regulatory certainty.

Like SPP, MISO has worked to facilitate the interconnection of large loads on its system. MISO established a mechanism, known as the Expedited Project Review process, to quickly study and approve transmission projects that are necessary to meet urgent reliability requirements, many of which are associated with large load additions.

The SPP and MISO approaches to large load interconnection represent well-vetted processes which resulted from significant stakeholder input and buy-in. Both approaches help to address the challenges associated with large load customers while respecting and maintaining state and federal jurisdiction. The NDPSC supports the work the RTOs are doing and would advocate for a similar large load interconnection process, one that is limited in scope and based on demonstrated methodology already in place within RTO's, to be adopted should FERC move forward with a rule making.

IV. Conclusion

The NDPSC respectfully asks the Commission to be aware of the potential impacts this action might have and work to avoid impinging on states' rights by altering definitions or past practices and, thus, moving the jurisdictional needle. Like our federal counterparts, we strive for the development of a safe, reliable, and efficient system, while safeguarding customers from increasing costs. We advocate for a system that is orderly constructed, non-discriminatory, and that allows our incumbent utilities to continue to provide retail service to customers pursuant to their state-mandated service obligations.

Dated this 21th day of November 2025.

Respectfully submitted,

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